

Memorandum

To: CEO Jason Huag

Date: 10/29/24

Stock Ticker: ZD

Industry/Sector: Advertising Agencies/Communication Services

Analyst name: Kylie Perales

1. Executive Summary and Company Overview

- **Recommendation:** Buy
- **Current Price:** \$47.44
- **Key Investment Thesis:** Ziff Davis is well-positioned for growth due to its diversified portfolio in high-demand sectors, high customer retention, and strategic emphasis on cybersecurity and connectivity. As digital reliance increases, Ziff's unique offerings and strong subscription model provide a competitive edge.
- **Business Description:** Ziff Davis is digital media and internet company with a portfolio of brands in industries including gaming and entertainment, shopping, cybersecurity, martech, and connectivity. Of the apps, platforms, software, etc. these brands offer some are B2C and some B2B. Ziff Davis is mid market with a market cap of \$2.12 billion.
- **Industry Position:** Ziff Davis has a pretty strong position although it is in a highly competitive industry due to its expertise in cybersecurity, strategic partnerships, and emphasis on connectivity programs that are becoming more prevalent in the industry.

2. Financial Analysis & Competitive Advantages

- **Key Financial Ratios:**
 - ROE = 4.29%, ROA = 2.24%, ROIC = 2.64%, Quick Ratio = 1.95, Current Ratio = 1.91, Debt Ratio = 1.32, Debt-to-Equity Ratio = 0.54.
 - Ziff is generating stable returns for shareholders, and can manage its current debts despite being financed more strongly by debt.
- **Efficiency Ratios:**
 - DSO = 0, DIO = 90 days, DPO = 221 days, and CCC = -131 days
 - A negative CCC enables Ziff to invest more in growing the company
- **Sector-Specific KPIs:**
 - Subscriber Churn Rate = 3.6%: This is a lower than the average churn rate of 5-7% for digital subscription companies, meaning Ziff retains customers better.
 - Subscription & Licensing Revenue as a % of Total Revenue = 43%:

3. Investment Risks

- **Market Risks:** growing cybersecurity threats and potential emergence of more compliance regulations.
- **Company-Specific Risks:** increased competition amid rapid technological advancements in its industry.

4. Conclusion and Recommendation

- **Final Recommendation:** Buy
- **Key Takeaways:** Ziff Davis is a great investment opportunity due to its strong market position, impressive customer retention rates, and focus on high-growth areas like cybersecurity. The company's financial health, consistent innovation, presence across multiple industries, and connection to both B2C and B2B markets support a positive outlook for future performance.

Best regards,
Kylie Perales